

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-08

**MEDITERRANEAN SHIPPING COMPANY, S.A. – POSSIBLE VIOLATIONS OF THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A)**

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY, S.A.’S
REPLY TO EXCEPTIONS OF THE
BUREAU OF ENFORCEMENT, INVESTIGATIONS AND COMPLIANCE
TO THE INITIAL DECISION**

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I. INTRODUCTION

Pursuant to 46 C.F.R. § 502.227(a)(2), Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) hereby replies to the Bureau of Enforcement, Investigations and Compliance’s (“BEIC”) exceptions to the Presiding Officer’s February 25, 2025, Initial Decision (“ID”) in this proceeding.

BEIC’s exceptions advance two primary arguments, each of which is deeply flawed and inconsistent with applicable law and/or the facts in the record of this proceeding.

First, BEIC’s excepts to the finding that MSC’s invoicing of demurrage on non-operating reefer containers (“NORs”) did not constitute a “practice” within the meaning of 46 U.S.C. § 41102(c). This exception is unsupported by the facts and by any plausible interpretation of applicable law. The Presiding Officer correctly held, based on the evidence in the record and applicable law, that the invoicing of NORs as operating reefers was not a practice. Even if MSC’s invoicing is held to be a practice (which it was not), it was not unjust or unreasonable. Moreover, even if the law and facts could be twisted in such an unnatural way as to conclude that MSC engaged in an unjust or unreasonable practice, it would be contrary to Commission precedent to impose additional penalties on MSC. Finally, BEIC’s concerns about the precedential effect of the ID’s conclusion that MSC’s invoicing of NORs was not a practice are overstated.

Second, BEIC’s contention that the ID erred in not finding MSC’s application of the so-called “merchant clause” to be a knowing and willful violation is baseless, as the ID correctly held that the state of the law during the period in question was such that MSC’s conduct may not be considered “knowing.”

II. ARGUMENT

A. The ID Correctly Held That MSC Did Not Violate § 41102(c)

The ID correctly held that MSC did not engage in a “practice” with respect to the invoicing of demurrage charges on NORs and hence did not violate § 41102(c).

1. MSC’s Invoicing with Respect to NORs Was Not a “Practice” as a Matter of Fact

MSC’s conduct with respect to the invoicing of demurrage on NORs was not a “practice” within the meaning of § 41102(c).

For purposes of § 41102(c), the Commission has defined a “practice” as something that is “normal, customary and continuous.” 46 C.F.R. § 545.4(b). MSC’s inadvertent application of operating reefer demurrage charges to NORs was none of these.

The undisputed facts show that MSC imported a total of 20,121 NORs in 2021. ID, Finding of Fact (“FOF”) #88. Of these 20,121 NORs, 11,480 were assessed demurrage charges. FOF #89. Of the 11,480 NORs that were assessed demurrage charges, 2,629 were assessed operating reefer demurrage charges (FOF #99). This means that 8,851 NORs were properly assessed the demurrage charges applicable to dry containers. Given that the number of NORs billed as dry containers was more than 3 times greater than the number of NORs billed as operating reefers, it cannot be said that it was “normal” to bill an NOR as an operating reefer – it was the exception. Similarly, it cannot be said that billing an NOR as an operating reefer was “customary” – the custom was to bill NORs as dry containers. Finally, it cannot be said that billing NORs as operating reefers was “continuous” – any billing of NORs as operating reefers was frequently interrupted by MSC’s actual practice, which was to bill NORs as dry containers in accordance with MSC’s policy. FOF #93.

BEIC's failure to recognize the vast number of correctly billed NORs is fatal to its argument that incorrect billing was MSC's "practice." In addition, the number of NORs billed as reefers does not in and of itself constitute a practice. This is so for two reasons. First, when adopting the "normal, customary and continuous" formulation found in 46 C.F.R. § 545.4, the Commission cited to other formulations with the same meaning, including "systematic," "uniform," and "habitual." 83 Fed. Reg. 64478, 64479 (December 17, 2018)(internal citations omitted). For the same reasons that MSC's conduct was not "normal, customary and continuous," it was not "systematic," "uniform," or "habitual" – the overwhelming dominant form of conduct was to bill NORs as dry containers. Thus, the issuance of incorrect invoices due to a systems error does not fall within the plain meaning of these terms.

Second, just because something happened a number of times does not make it a "practice," as BEIC appears to contend. As a practical matter, if one course of conduct (billing NORs as dry containers) is normal, customary and continuous insofar as billing NORs is concerned, then a different course of conduct (billing NORs as operating reefers) cannot also be normal, customary and continuous. Either the dominant form of conduct is the practice, or neither course of conduct rises to the level of a practice.

In this proceeding, it is also questionable whether the conduct at issue constitutes a practice because the entire NOR issue stems from a single tariff filing and a single error in MSC's system.

Finally, the purported "incalculable administrative costs" do not convert an event into a practice. A one-time event could have far more serious consequences than one that is oft-repeated, but the one-time event would still not be a practice. Moreover, there is nothing in the record as to the amount of such "incalculable" costs allegedly incurred by MSC's customers, making it

baseless and inappropriate to rely on such costs as the basis for finding a practice for purposes of Section 41102(c).¹

2. *MSC's Invoicing with Respect To NORs Was Not a "Practice" as a Matter of Law*

The law governing carrier practices under the Shipping Act demonstrates that MSC's invoicing was not a practice as a matter of law.

The test of whether a practice is reasonable is whether it is tailored to meet its intended purpose. *Intermodal Motor Carriers Conf. Am Trucking Ass'ns, Inc. v. Ocean Carrier Equipment Mgmt. Ass'n Inc., et al.*, 6 F.MC.2d 45, 47 (ALJ 2023). Stated another way, in order to be reasonable, a practice must be "otherwise lawful but not excessive and...fit and appropriate to the end in view." *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 24 S.R.R. 714, 722 (FMC 1988). Implicit in the test for the reasonableness of a practice is that the practice have a purpose or objective. Here, the invoicing of NORs as operating reefers was due to a mistake – it had no purpose or objective. Accordingly, it cannot be considered a practice.

BEIC argues that the purpose of MSC's conduct was to increase revenue. This argument is contradicted by the record, including the fact that the dominant practice was to bill NORs as dry containers. It also overlooks the fact that almost half of all demurrage incorrectly billed to NORs was refunded in 2021 and that all of it had been refunded prior to the issuance of the ID. FOF #107. These facts are not consistent with a deliberate scheme to enhance revenue and support the IDs findings that the NOR invoicing issue was attributable to a mistake.

Where there was no purpose to the conduct, it should not be considered a practice.

¹ See Respondent's Exceptions to the ID at p. 13.

3. *Even if the NOR Invoicing was a “Practice,” It Was Not Unjust or Unreasonable*

BEIC’s exceptions appear to argue that applying operating reefer demurrage charges to NORs was unreasonable because NORs do not require the “enhanced handling and care” required by operating reefers. This argument misses the mark and is unsupported by the record.

Reasonableness is a factual issue. *See, e.g., Interpretative Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29647 (May 18, 2020)(guidance of interpretative rule not inconsistent with case-by-case adjudication of reasonableness, especially where Commission will consider all arguments raised in individual case); *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2001 WL 865692 (Docket No. 00-11)(ALJ 2001)(determination of reasonableness largely dependent upon specific facts rather than broad generalizations), *aff’d* 2002 WL 33836158 (FMC 2002); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore*, 27 S.R.R. 539, 545 (FMC 1996).

As noted above, the test of whether a practice (which MSC’s invoicing was not) is reasonable is whether it is tailored to meet its intended purpose or is “otherwise lawful but not excessive and...fit and appropriate to the end in view.” *Intermodal Motor Carriers Conf. Am Trucking Ass’ns, Inc. and Distribution Services, Ltd., supra*. BEIC appears to argue that the application of operating reefer charges to NORs is “excessive” and therefore unreasonable.

As the proponent of a finding of unreasonableness, BEIC bears the burden of proof. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Thus, it is incumbent upon BEIC to adduce facts demonstrating that it is excessive to apply operating reefer charges to NORs. BEIC has failed to do this and, as a result, the record does not support a finding that would support a finding that MSC’s invoicing was unjust or unreasonable.

The only information in the record potentially relevant to the issue of the reasonableness of applying operating reefer charges to NORs is that (a) the charges applicable to operating reefers are higher than those applicable to dry containers (FOF #87); (b) NORs do not require the same enhanced handling and care as operating reefers (FOF #81 and #83); and (c) reefer containers cost more than dry containers (FOF #95).

There is nothing in the record with respect to the cost of the enhanced handling and care required by operating reefers or the cost differential as between dry and reefer containers. Thus, there is absolutely no factual basis upon which to conclude that the application of operating reefer charges to NORs is unreasonable. Since the primary purpose of demurrage charges is to incentivize the prompt pick up of the cargo, it could well be that it is reasonable to apply operating reefer charges to NORs to incentivize the prompt pick-up of such containers in light of (a) the higher cost of purchasing reefer containers; (b) the limited supply of this specialized equipment; and (c) the higher rates generally applicable to reefer as compared to dry cargo. The lack of a factual basis to conclude that applying operating reefer charges to dry containers is unreasonable means that BEIC has failed to meet its burden of proof and that a finding of unreasonableness would be unsupported by the record in this proceeding.

Moreover, there is a serious legal question as to whether such a finding would be within the Commission's authority. If the Commission were to find that applying operating reefer charges to NORs is unreasonable, it would in effect be saying "this charge is unlawful because it is too high." However, as the Commission has stated: "...rate reduction is not a statutory objective of the Commission, and rate regulation is not an authorized function." *Notice of Inquiry Concerning Use and Effect of Surcharges by Common Carriers and Conferences*, 26 S.R.R. 108, 121 (FMC 1992). Finding a surcharge unreasonable because it is too high,

particularly where there is no factual basis for that conclusion, would go beyond the Commission's authorized functions.

4. The ID Does Not Hold That a Mistake Can Never Be a Practice

BEIC excepts to the ID in part because it is concerned that the ID establishes a negative precedent, i.e., that the ID stands for the proposition that a mistake can never be a practice and hence can never result in a Shipping Act violation. BEIC's exceptions on this basis are without merit.

As an initial matter, the Presiding Officer's holding is consistent with other decisions. For example, in *Bakerly, LLC v. Seafrigo USA Inc.*, Docket No. 22-17, Initial Decision at 47 (FMC Jan. 3, 2024), the Presiding Officer held that, even the absence of systemic controls that would allow for accurate demurrage and detention invoicing, isolated mistakes merely showed a practice of "sloppy recordkeeping" rather than a Shipping Act violation.

Further, as a practical matter, MSC believes that BEIC reads the ID too broadly. MSC sees nothing in the ID that would forever preclude conduct resulting from a mistake to be found in violation of § 41102 of the Shipping Act. The ID merely found that there was no violation of that statutory provision based on the unique facts of this case.

MSC would not go so far as to say a mistake could never constitute a Shipping Act violation, and it does not believe the ID so holds. Since reasonableness is a factual issue that is determined on a case-by-case basis, it is best to leave the determination of whether a given mistake constitutes a violation of some provision of the Shipping Act to be based on the facts of each case, since the conclusion may depend on the nature of the mistake and the Shipping Act provision at issue. Here, however, the ID correctly concluded that the mistake was not a violation.

B. No Additional Penalties Should Be Assessed for Any § 41102(c) Violation Based on NOR Invoicing

No additional penalties should be assessed against MSC even if it is found to be in violation of § 41102(c). This is so for two reasons.

First, as detailed in Respondent's exceptions to the ID, the penalty imposed by the Presiding Officer is already excessive.

Second, the Commission has declined in the past to penalize the same conduct twice on the grounds that it violates two separate provisions of the statute. For example, in *World Line Shipping, Inc. and Saeid B. Maralan (aka Sam Bustani) – Order to Show Cause*, the Bureau sought to impose civil penalties on the respondent for violating a cease and desist order. The ALJ refused to do so on the grounds that civil penalties had already been imposed on the underlying conduct. 29 S.R.R. 384, 393 (ALJ 2001). The Commission affirmed the ALJ on the grounds that imposing further penalties would be “overreaching” in light of the fact that penalties had already been imposed on the underlying conduct. 29 S.R.R. 808, 812 (FMC 2002). *See also, Sea-Land Service, Inc. – Possible Violations of Section 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, FMC Docket No. 98-06 (FMC February 8, 2006)(Commission declined to impose penalties for violations of Section 10(b)(1) where same conduct also found to have violated Section 10(b)(4)).

C. The “Merchant Clause” Violations Were Not Knowing and Willful

BEIC's arguments with respect to what constitutes a “knowing and willful” violation misstate the applicable law and improperly conflate knowledge of factual matters with notice of legal requirements.

The U.S. Supreme Court, in a decision frequently cited by and relied upon by the Commission, stated: “‘Willfully’ means something not expressed by ‘knowingly,’ else both

would not be used conjunctively...”. *United States v. Illinois C.R. Co.*, 303 U.S. 239, 243 (1938), citing *St. Louis & S.F.R. Co. v. U.S.*, 169 F. 69 (8th Cir. 1909). BEIC focuses its argument on the “willful” element, suggesting a number of reasons why MSC should have billed someone other than the notify party for the charges in question. However, even if MSC billed a notify party in a sufficient number of instances to support a finding that its conduct was willful, the ID was correct in finding that MSC’s conduct was not “knowing.”

As MSC pointed out in its reply brief, due process requires that a regulated entity be on notice of what is permitted/required under the law. A regulated entity cannot knowingly violate the law if the state of the law is such that the party in question cannot be aware of what is required/permitted. In this regard, the ID correctly held there was insufficient certainty with respect to the state of the law governing the billing of demurrage to conclude that MSC acted with “plain indifference” to the requirements of the Shipping Act. ID at 45-46. BEIC’s efforts to overcome the uncertainty in the state of the law by citing to facts should not be permitted to prevail, and the ID’s finding that there was no “knowing and willful” violation of § 41102(c) with respect to the merchant clause should be upheld.

III. CONCLUSION

For the foregoing reasons, BEIC’s exceptions should be denied.

Respectfully submitted,

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Dated: April 10, 2025

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the attorneys in the Office of Enforcement identified below by delivering the aforementioned document via email transmission this 10th day of April, 2025.

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